In speaking here today, I am aware that most convocation addresses are soon forgotten. That creates a form of moral hazard for the speaker. If you are not going to remember what I say, I don't have the incentive to work hard at crafting my words. The net effect is what economists refer to as a bad equilibrium; my speech is forgettable, and you therefore forget it soon. If so, we are probably better off with me skipping the rest of the speech, and all of us going on to other pressing duties.

Nevertheless, I am going to look beyond my personal incentives and fulfil my dharma as chief guest. I will speak on why India's tradition of debate and an open spirit of enquiry is critical for its economic progress. Let me explain.

Robert Solow won the Nobel Prize in Economics for work that showed that the bulk of economic growth did not come from putting more factors of production such as labour and capital to work. Instead, it came from putting those factors of production together more cleverly, that is, from what he called total factor productivity growth. Put differently, new ideas, new methods of production, better logistics – these are what lead to sustained economic growth. Of course, a poor country like ours can grow for some time by putting more people to work, by moving them from low productivity agriculture to higher value-added industry or services, and by giving them better tools to do their jobs. As many of you who have taken economics will recognize, we in India are usually far from the production possibility frontier, so we can grow for a long while just by catching up with the methods of industrial countries.

But more intelligent ways of working will enable us to leapfrog old methods and come more quickly to the production possibility frontier – as for example, we have done in parts of the software industry. And, of course, once you are at the frontier and using the best methods in